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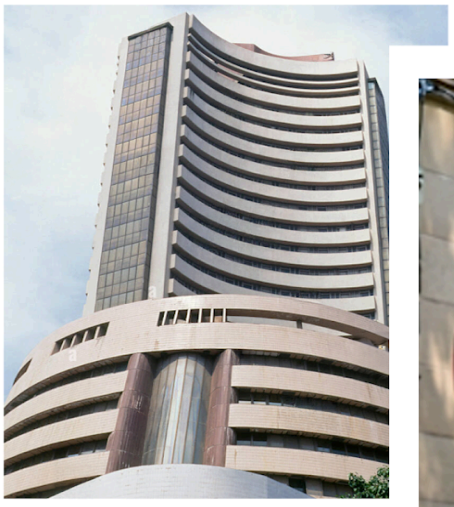
General Knowledge

Indian Economy

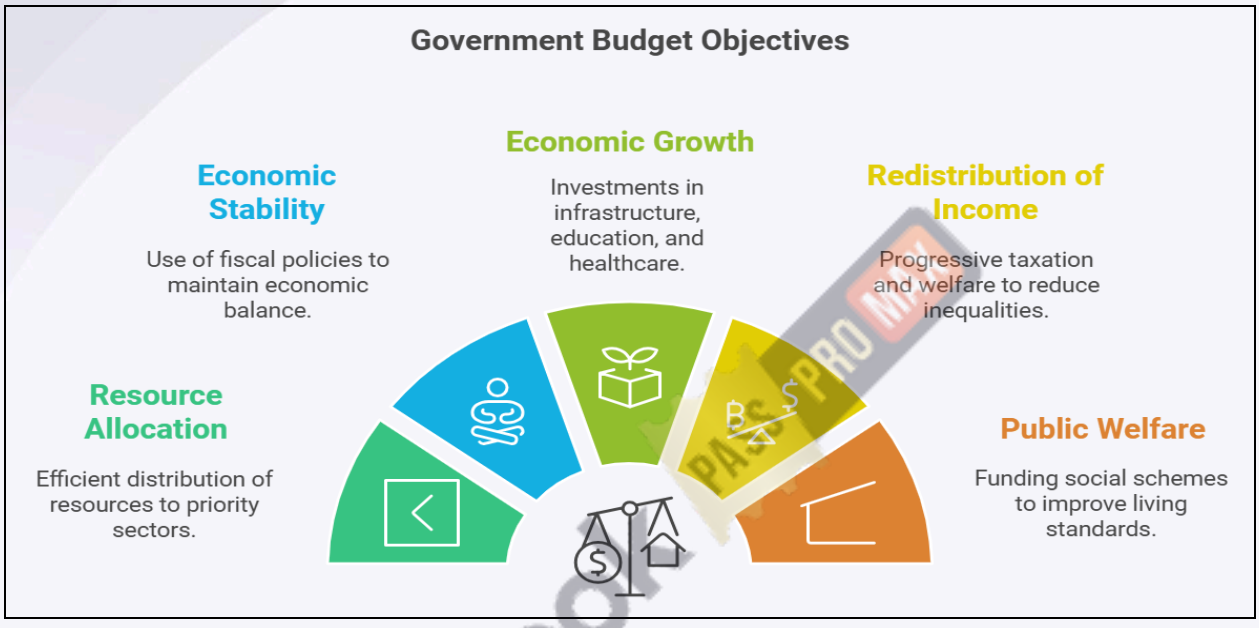
STUDY NOTES

Government Budgeting



GOVERNMENT BUDGETING

A government budget is an **annual financial statement** presenting the **government's proposed revenues** and **spending** for a **financial year.** It outlines the **allocation** of resources, prioritises expenditures, and plans for revenue generation.



Government Budget:

Key Terms

- **Receipts**: Money received by the government, including earnings and borrowings.
- **Plan Expenditure**: Expenditures associated with **Five Year Plans**, such as on electricity, irrigation, and rural development.
- **Non-Plan Expenditure**: All other expenditures, including interest payments, pensions, and statutory transfers.

Budget and Constitutional Provisions

- **Article 112 of the Indian Constitution**: Refers to the **Union Budget** as the Annual Financial Statement (AFS).
- **Contents of the Budget**: It includes estimates of **revenue and capital receipts**, ways to raise revenue, estimates of expenditure, details of actual receipts and expenditure of the

closing financial year, and the economic and financial policy for the coming year, including taxation proposals, revenue prospects, and spending programs.

Parliamentary Procedure for Budget

The Budget goes through the following six stages in Parliament:

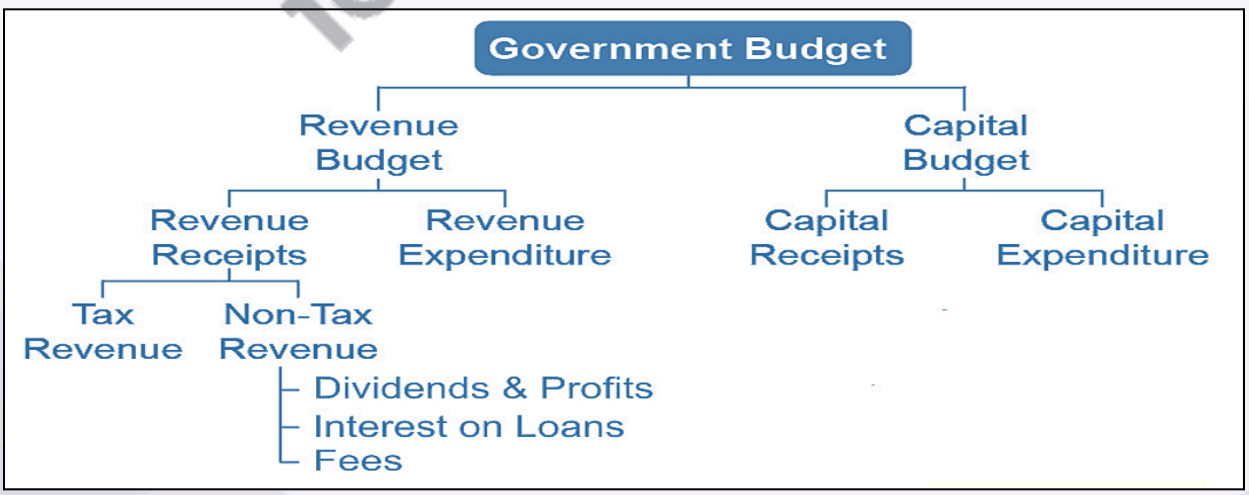
- **Presentation of Budget**
- **General Discussion**
- **Scrutiny by Departmental Committees**
- **Voting on Demands for Grants**
- **The passing of Appropriation Bill**
- **The passing of Finance Bill**

***Budget Preparation**: The Budget Division of the Department of Economic Affairs, Ministry of Finance, is responsible for preparing the Budget.*

Changes Introduced in 2017

- **Budget Presentation Date**: Advanced to **February 1st** (previously presented on the last working day of February).
- **Merger of Budgets**: The **Railway Budget merged with the General Budget**.
- **Plan and Non-Plan Expenditure**: The classification of expenditures as **plan and non-plan** was abolished.

Components of Government Budget



Revenue Budget:

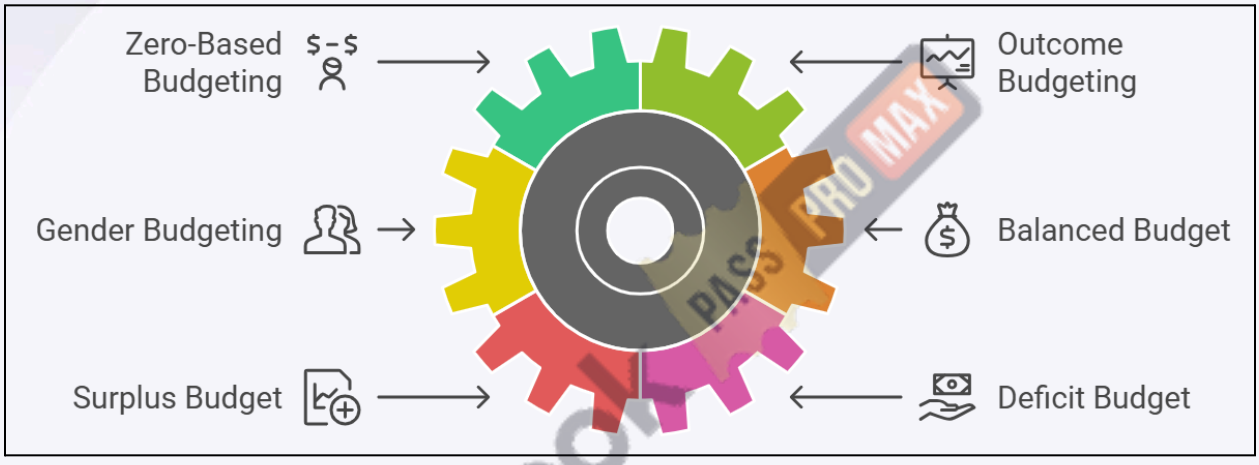
- **Revenue Receipts**:
  - **Tax Revenues**: Includes income tax, corporate tax, excise duty, GST, and customs duties. These are compulsory payments made by citizens and businesses to the government.
  - **Non-Tax Revenues**: Includes interest receipts, dividends from public sector enterprises, fees, fines, and grants. These are non-compulsory receipts not arising from taxation.
  - **Characteristics**: Revenue receipts do not lead to an increase in government liabilities or a reduction in its assets.
- **Revenue Expenditure**:
  - **Salaries and Wages**: Payments made to government employees.
  - **Interest Payments**: Payments on the national debt.
  - **Subsidies**: Financial assistance provided to farmers, food security programs, and other welfare schemes.
  - **Other Administrative Expenses**: Costs related to the day-to-day functioning of government departments and services.
  - **Characteristics**: Revenue expenditure does not result in the creation of assets or reduction of liabilities. It is recurring in nature.

Capital Budget:

- **Capital Receipts**:
  - **Borrowings**: Loans raised by the government from the market, RBI, or foreign institutions.
  - **Disinvestment**: Proceeds from the sale of government stakes in public sector enterprises.
  - **Recovery of Loans**: Repayments received from states and Union Territories.
  - **Characteristics**: Capital receipts either create liabilities (borrowing) or reduce financial assets (disinvestment).
- **Capital Expenditure**:
  - **Infrastructure Projects**: Investments in building roads, bridges, ports, schools, hospitals, etc.

- **Machinery and Equipment**: Purchase of long-term assets for various government departments.
- **Grants for Capital Asset Creation**: Funds provided to states and local bodies for creating infrastructure.
- **Loan Disbursements**: Loans given to states, Union Territories, and other entities.
- **Characteristics**: Capital expenditure results in the creation of assets or reduction of liabilities. It is non-recurring and long-term in nature.

Types of Budgets



Zero-Based Budgeting (ZBB):

- **Definition**: A budgeting method where every expense must be justified for each new period, starting from a zero base.
- **Process**: Every department must review and justify all expenditures, rather than only the incremental changes from the previous budget.
- **Advantages**: Ensures efficient allocation of resources as it focuses on needs and costs. Eliminates outdated and redundant activities.
- **Challenges**: Time-consuming and requires detailed documentation and justification for each item.

Outcome Budgeting:

- **Definition**: A budgeting approach that focuses on the outcomes and results of government spending rather than just the expenditure.

- **Process**: Tracks the physical and qualitative targets of each ministry and department, measuring the impact of budget allocations.
- **Advantages**: Enhances accountability and transparency by linking financial resources to measurable outcomes.
- **Challenges**: Requires robust data collection and analysis mechanisms to track and report outcomes effectively.

Gender Budgeting:

- **Definition**: A method of budgeting that incorporates a gender perspective at all stages of the budgetary process to promote gender equality.
- **Process**: Analyzes budget allocations for their impact on men and women, ensuring equitable distribution of resources.
- **Advantages**: Promotes inclusiveness and addresses gender disparities in resource allocation and program implementation.
- **Challenges**: Needs comprehensive gender-disaggregated data and a strong commitment to addressing gender issues across all government departments.

Balanced Budget:

- **Definition**: A budget where expected revenues equal anticipated expenditure.
- **Implications**: Indicates fiscal discipline and stability. The government does not need to borrow, thus no increase in public debt.
- **Advantages**: Prevents excessive borrowing and maintains financial stability. Controls inflation by avoiding excessive public spending.
- **Disadvantages**: May limit the government's ability to respond to economic downturns or invest in long-term development projects.

Surplus Budget:

- **Definition**: A budget where expected revenues exceed estimated expenditure.
- **Implications**: The government has extra funds, which can be used to pay off debt, save for future needs, or invest in infrastructure.
- **Advantages**: Reduces public debt and interest burden. Provides a financial cushion for future uncertainties.
- **Disadvantages**: May indicate over-taxation or under-spending. This can lead to reduced economic growth if government spending is insufficient.

Deficit Budget:

- **Definition**: A budget where estimated expenditure exceeds expected revenues.
- **Implications**: The government needs to borrow to cover the shortfall, leading to an increase in public debt.
- **Advantages**: Allows the government to invest in economic development and social programs. Can stimulate economic growth during a recession.
- **Disadvantages**: Leads to higher debt and interest payments. Persistent deficits can undermine fiscal stability and investor confidence.

Measures of Government Deficits

Deficit Type	Definition	Formula	Key Implications
Revenue Deficit	Excess of revenue expenditure over revenue receipts.	Revenue Deficit = Revenue Expenditure - Revenue Receipts	Indicates operational inefficiency and potential dis-savings.
Fiscal Deficit	Total expenditure minus total non-borrowed receipts.	Fiscal Deficit = Total Expenditure - (Revenue Receipts + Non-debt Creating Capital Receipts)	Represents the government's total borrowing requirement.
Primary Deficit	Fiscal deficit excluding interest payments.	Primary Deficit = Fiscal Deficit - Interest Payments	Measures borrowing for current expenses (excluding debt servicing).
Effective Revenue Deficit	Revenue deficit adjusted for grants for capital assets.	Effective Revenue Deficit = Revenue Deficit - Grants for Creation of Capital Assets	Reflects the revenue deficit after considering developmental grants.
Budget Deficit	Total expenditure exceeds total receipts, including borrowings.	Budget Deficit = Total Expenditure - Total Receipts	No longer widely used; reflects an overall shortfall in the budget.

Monetized Deficit	Part of the fiscal deficit is financed by RBI.	Monetized Deficit = Borrowings from RBI	Highlights deficit financing through money creation, which may lead to inflation.

Deficit Financing in India

The practice of funding government expenditure by borrowing rather than from current revenue, or by printing new money is known as deficit financing.

Methods of Deficit Financing:

- **Borrowing from RBI**: The government issues securities to the Reserve Bank of India (RBI) and, in return, the RBI creates new money to lend to the government.
- **Market Borrowing**: The government borrows from the market by issuing bonds and securities to investors.
- **External Borrowing**: Borrowing from foreign governments, international organizations, and global financial markets.
- **Printing Currency**: Creating new money, which can lead to inflation if not managed properly.

Rationale for Deficit Financing:

- **Economic Growth**: Used to finance development projects and stimulate economic growth, especially in times of recession.
- **Public Welfare**: To fund social welfare programs and public services.
- **Infrastructure Development**: To invest in infrastructure projects that can lead to long-term economic benefits.
- **Counter-cyclical Measures**: Used during economic downturns to boost demand and mitigate the effects of a recession.

Implications of Deficit Financing:

- **Positive Impacts**:
  - **Economic Stimulus**: This can lead to increased investment, higher employment, and economic growth.

- **Infrastructure Development**: Enhances the long-term productive capacity of the economy.
- **Social Development**: Funds social welfare programs that improve quality of life.

- **Negative Impacts**:
  - **Inflation**: Printing money or excessive borrowing can lead to inflationary pressures.
  - **Debt Burden**: Increases the future debt servicing burden, leading to higher interest payments.
  - **Crowding Out**: Government borrowing can lead to higher interest rates, which might crowd out private investment.

Deficit Financing Trends in India:

- **Historical Context**: India has used deficit financing extensively for its planned economic development, especially in the post-independence period.
- **Recent Trends**: The government has aimed to reduce fiscal deficits through fiscal consolidation efforts, guided by the Fiscal Responsibility and Budget Management (FRBM) Act.
- **FRBM Act**: Enacted to institutionalize fiscal discipline, reduce deficits, and improve macroeconomic management.

Fiscal Responsibility and Budget Management Act, 2003

- **Enacted**: August 2003.
- **Purpose**: Ensure inter-generational fiscal equity and long-term macroeconomic stability.
- **Provisions**:
  - Limits the central government's fiscal deficit to 3% of GDP.
  - States must enact similar laws, capping their deficits at 3% of GSDP.
  - Requires transparency and medium-term fiscal policy framework.
- The Act includes **setting limits on the Central government's debt and deficits**, restricting the fiscal deficit to 3% of GDP.
- To ensure states are financially prudent, the **12th Finance Commission's recommendations in 2004 linked debt relief to states with their enactment of similar laws**. Consequently, states have enacted their own **Financial Responsibility Legislation**, capping annual budget deficits at 3% of Gross State Domestic Product (GSDP).

- It mandates **greater transparency in the fiscal operations** of the Central government and the **conduct of fiscal policy in a medium-term framework**. The Union government's budget includes a **Medium Term Fiscal Policy Statement**, specifying revenue and fiscal deficit goals over three years.
- The rules for implementing the Act were notified in July 2004, amended in 2018, and most recently set a **target of 3.1% for March 2023**.
- The **NK Singh committee** (established in 2016) recommended the government should target a fiscal deficit of 3% of GDP up to March 31, 2020, reducing to 2.8% in 2020-21 and 2.5% by 2023.

Relaxation under the FRBM Act:

- **Escape Clause** (Section 4(2)): Allows exceeding fiscal deficit targets for reasons such as national security, calamity, agricultural collapse, structural reforms, or significant output decline.
- The COVID-19 pandemic is considered a national calamity justifying the use of the escape clause.

Instances of Relaxation:

<u>During the Budget 2020-21 presentation:</u>

- **Corporate Tax Reductions**: The reductions in corporate tax were classified as structural reforms, triggering the escape clause. This indicates that the government has already utilized the escape clause for this year.
- **Fiscal Deficit Adjustment**: This action enabled the government to revise the fiscal deficit target for 2019-20 to 3.8%, up from the originally budgeted 3.3%.
- **Future Impact**: It was noted that the impact of these reforms would necessitate a reset of the fiscal deficit target for 2020-21, adjusting it from the previous goal of 3% to 3.5%.

<u>During the Global Financial Crisis in 2008-09:</u>

- **Focused Fiscal Stimulus**: The Centre implemented a targeted fiscal stimulus, including tax relief to boost demand and increased expenditure on public projects to create employment and public assets, to mitigate the effects of the global slowdown.
- **Fiscal Deficit Increase**: This led to the fiscal deficit rising to 6.2%, compared to a budgeted goal of 2.7%.

- **State Deficit Goals**: Concurrently, the deficit targets for the States were relaxed to 3.5% of Gross State Domestic Product (GSDP) for 2008-09 and to 4% of GSDP for fiscal 2009-10.

Interim Budget 2024-2025

The Interim Budget for 2024-25 was recently presented in the parliament. ***It aims for a 'Viksit Bharat' (Developed India) by 2047, focusing on comprehensive and inclusive development.***

- An Interim Budget is presented by a government in a transition period or in its last year before general elections.
- It ensures continuity of government expenditure and essential services until a new government presents a full-fledged budget.

Difference Between Interim Budget and Vote on Account

Feature	Interim Budget	Vote on Account
Constitutional Provision	Article 112	Article 116
Purpose	Financial statement before elections	To meet essential expenditures temporarily
Duration of Expenditure	Covers a few months until a new budget	Typically for two months, covering one-sixth of the total estimation
Policy Changes	Can propose tax changes	Cannot change the tax regime
Impact on Governance	Ensures continuity during transition	Ensures smooth functioning until regular budget

Budget Funds in India

- **Consolidated Fund of India**: All revenues, loans, and repayments. Withdrawals need parliamentary approval, except for charged expenditures.
- **Public Account of India**: Includes provident funds, small savings, etc. The government acts as a banker; no parliamentary approval is needed for transfers.

- **Contingency Fund of India**: Provides advances for unforeseen expenditures, replenished by parliamentary approval.